investment and income on investment of foreign exchange reserves deployed abroad); and transfers by NRIs to resident Indians. These are all positive inflows for India and help meet the deficit on the goods and services trade account. Meanwhile, such payments/transfers made by resident Indians to the rest of the world reduces the positive flows on the account.

Indian resident workers received compensation payments of $5.6 billion in 2019–20, whereas Indian employers paid $2.7 billion of compensation to foreign workers. Thus, Indian workers earned a net compensation of $2.9 billion.

India has been importing capital from abroad. This results in net negative investment income. The country paid $15.4 billion in dividends, interest and accrued incomes to non-residents for the stock of FDI in 2019–20, whereas Indian businesses earned $6.9 billion on their FDI abroad. India has a large stock of foreign portfolio investment (FPI) on both debt and equities as well. The country paid $11 billion of interest, dividend and capital gains on FPI in 2019–20 while India's portfolio investment earned a negligible amount of $216 billion as our stock of portfolio investment abroad is meagre. There is one more investment income category called 'Other Investment Income' which includes income on equity and investment fund shares that are not classified as FDI or FPI as well as income attributable to policyholders in insurance, pension and other guarantee schemes. India had negative income inflows with respect to this category, too, $14.3 billion (income $1.4 million and expenditure $15.7 billion), exceeding the net negative income on FPI of $10.8 billion.

Finally, the income on investment of reserve balances of the central bank was positive for India. The country earned a net income on investment of reserve assets of $6.9 billion (income $6.945 billion and expenditure only $53 million) thanks to the large foreign exchange reserves we hold and deploy abroad. It is a matter of consideration how much India pays for